

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$284.30 ▲ 4.68%	12M Price Target \$325.00	52-Week Range \$196.00 – \$287.13	Market Cap \$3.06T
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AMZN: \$3T Club — AI Spend Finally Paying Off

WHAT HAPPENED

- AMZN just crossed \$3 trillion for the first time — up 4.7% today and roughly 25% in the last week after last Thursday's earnings blowout. The story: AWS (their cloud unit) is reaccelerating and AI spending is finally showing up in revenue, not just costs. Management raised capex guidance and the market cheered instead of panicked — that's a big vibe shift from six months ago when every dollar of AI spend was punished.
- Options flow is screaming bullish — call buyers outnumber put buyers more than 2-to-1, and there's aggressive positioning in \$280 August calls (nearly 19,000 contracts). That's traders betting the melt-up continues into month-end.

WHY IT MATTERS

Here's the real read: for two years, investors punished big tech for AI capex — "you're spending billions and where's the return?" Amazon just answered that question with actual AWS reacceleration, and it's a permission slip for the entire hyperscaler trade (Microsoft, Google, Meta all rallying with it). This probably means the "AI capex is wasteful" narrative is dead for now, and the next 6 months will be about who monetizes fastest. Watch for: if AWS growth prints above 20% next quarter, the stock has room to \$325+ because analysts will have to raise numbers across the board. The risk is that at 97% of its 52-week range, a lot of good news is now priced in — chasing here is different than owning it.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC's antitrust case against Amazon is still grinding through courts — a Trump-era FTC has been less aggressive on breakup remedies than Khan's version, which is a quiet tailwind. (2) Tariff policy on Chinese goods is the sneaky risk — Amazon's third-party marketplace is heavily dependent on Chinese sellers, and any escalation squeezes retail margins even as AWS soars. Also worth noting: the administration's "AI dominance" executive orders explicitly favor US hyperscalers for federal cloud contracts, which is a direct benefit to AWS's government segment.

IS IT EXPENSIVE?

At ~39x forward earnings, you're paying \$39 for every \$1 Amazon is expected to earn next year — that's not cheap, but it's actually in line with its 5-year average despite much better AI positioning now. On EV/EBITDA (a way to compare companies stripping out debt and taxes) at ~18x, it's actually cheaper than Microsoft (~22x) despite similar cloud growth. Translation: not a bargain, but reasonable if you believe AWS keeps reaccelerating.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$284.30
12M Price Target	\$325.00
Upside / (Downside)	+14.3%
Market Cap	\$3.06T
FY2026E Revenue	\$730M
FY2027E Revenue	\$815M
FY2026E EPS	\$7.20
FY2027E EPS	\$8.75
Fwd P/E	39.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$305.00	\$290.00	\$265.00
6 Months	\$340.00	\$310.00	\$255.00
1 Year	\$365.00	\$325.00	\$240.00
2 Years	\$425.00	\$370.00	\$260.00
5 Years	\$600.00	\$480.00	\$300.00
10 Years	\$950.00	\$700.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+2.7%) and Consumer Discretionary (+1.8%) — both directly benefit from the mega-cap tech earnings wave. The AI monetization narrative is spreading from just chips to the whole cloud/platform complex.

COOLING OFF: Energy (oil stocks skidding on Trump's Iran move — the market thinks it's de-escalatory). Materials also weak on China demand worries.

ROTATION WATCH: Money is rotating out of defensive sectors and into mega-cap tech that has PROVEN AI monetization. That's why AMZN, MSFT, and META are all ripping — investors want the winners, not the "might work" names.

RELATED PLAY: If you believe the AI capex cycle continues, the picks-and-shovels plays are data center REITs (like DLR, EQIX) and power utilities near data center corridors — they're a less-crowded way to play the same theme.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Also ripping today — same story, Azure cloud reaccelerating on AI, and they're the closest peer comp to AWS.
- META (Meta): Post-earnings strength — proved ad-targeting AI is monetizing, which also validates AMZN's fast-growing ad business (their sneaky third growth engine).

AMZN CONTEXT: Amazon is LEADING the mega-cap tech pack this week, up ~25% in 5 sessions vs. the group's ~5-10%. That's a "catching up" move — AMZN had been the laggard for months, so this is mean-reversion plus a genuine fundamental beat. Momentum favors it near-term, but expect it to consolidate around \$280-290 before the next leg.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — high conviction on the business, moderate conviction on entry timing given the vertical move.

POSITION SIZE: 5-8% of portfolio — this is a core mega-cap holding, not a speculation. Size it like the diversified compounder it is.

ENTRY POINTS: Don't chase at \$284. Wait for a pullback to \$265-275 which historically comes every few weeks on macro headlines. If it never comes, scale in slowly with 25% now, 25% every \$10 lower.

TIME HORIZON: 12-24 months for the AI monetization thesis to fully play out through multiple earnings cycles.

WHEN TO BAIL: If AWS growth drops below 15% year-over-year, or if there's a serious FTC breakup ruling, or if the stock breaks below \$240 on heavy volume — that would signal the thesis is broken.

HEDGING: Simplest way — trim 20% if it goes another 15% higher without earnings support. For the more sophisticated: buy protective puts 10% out of the money using a small chunk (0.3% of position) of your gains as insurance premium.